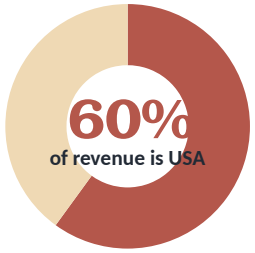
# Two structural problems sit beneath the growth question

**The situation.** GlobalCraft is a premium Indian stationery brand; the US is 60% of revenue, sold through Heritage, a legacy distributor that unlocks the major retail chains. The brand asked how to grow. Two problems from this setup block that growth today.

## PROBLEM 1: CONCENTRATION IN ONE MARKET

### Too much revenue rides on one unstable market




A new **10% US import tariff** has just landed and could climb higher. Because most of the business sits in one country, a single policy change there hits nearly all of it at once. GlobalCraft is exposed to a market it cannot influence.

## PROBLEM 2: NO CONTROL OF ITS OWN ACCESS

### No route to that market GlobalCraft controls




**Everything between GlobalCraft and its customers, the red block, is owned by Heritage.** GlobalCraft has no independent way to reach the US. That missing control is the source of the two problems below.

## THESE TWO PROBLEMS SHOW UP AS DAILY PAIN

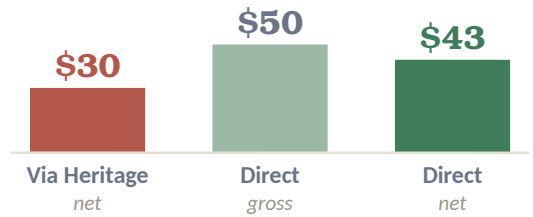
### Cash is trapped for months at a time

**90–120**

DAYS to see cash

**Why:** Heritage places large orders infrequently and demands each one shipped complete. GlobalCraft holds finished stock while it makes the final items, so payment lands in one late lump every 3 to 4 months, not as steady cash.

### The distributor, not the tariff, is the real cost




**Why:** Heritage raised the channel margin from 50% to 70%, so GlobalCraft keeps **$30** of every $100, not $50. Going direct earns $50 gross; after the ~$2–5 tariff and ~$3 US logistics it still nets about **$43**. Direct keeps far more than Heritage, and the 20-point distributor cut dwarfs the tariff.

**The real problem:** GlobalCraft controls neither its economics nor its access in the market that drives it. Growth has to begin by fixing that, not by choosing a sales channel.

# Fix the problems in sequence, without cutting off Heritage

**The approach.** Cutting Heritage is irreversible: it holds the chains and generations of goodwill. So we keep it. We fix the cash timing first, add our own route to small retailers gradually, then reduce US dependence. Every step is reversible, so nothing bets the company.

## THE PLAN: A PHASED ROADMAP (*Pace of steps 2 and 3 depends on two figures the case omits: the size of the small-retailer segment and GlobalCraft's cost base*)

**1** NOW · 0–3 MO

### Fix the cash timing

**Renegotiate terms with Heritage:** ship and invoice the ready 90% of each order now, not the whole batch. **Backup if they refuse:** sell the invoice to a bank for cash, no consent needed.

Faster cash

**2** 3–9 MO

### Add a direct route

Chains stay with Heritage. Reach small shops via a second distributor (if the contract allows) or self-import through 3PL + DDP, whichever wins on cost and ease. Pilot one region.

More margin

**3** 9–18 MO

### Scale that route

Small shops order little and often, so revenue turns steady and the invoice-selling backup is no longer needed.

Steady cash

**4** 18 MO +

### Enter new countries

Take existing products into new markets to bring the US below 60% and cut single-country risk.

Less US risk

## WHERE THE GROWTH COMES FROM (ANSOFF)

*The strongest growth is geographic: new countries for existing products is the one move that grows the business while easing the 60% concentration. Extending the premium line is a natural second bet; pushing harder on the US channel is defence, not growth.*

| | EXISTING PRODUCTS | NEW PRODUCTS |
|---|---|---|
| EXISTING MARKET | **Sell more in the US**<br>The channel fight. Needed, but low-margin and tariff-exposed.<br>MANAGE | **New premium products**<br>Extend the line to current buyers. High-margin, on-brand.<br>PURSUE |
| NEW MARKET | **Sell into new countries**<br>Same products, new markets. Cuts the 60% US risk.<br>★ PRIORITY | **New products abroad**<br>Both new at once. Highest risk, hold for later.<br>LATER |

## WHY THE SEQUENCE COMPOUNDS

1. **Fix the cash timing**
   *frees up trapped capital and management time*
2. **Build the direct route**
   *funded by that freed cash; grows margin and steadies income*
3. **Steady income makes the fix permanent**
   *the cash backup is no longer needed*
4. **Fund entry into new countries**
   *which removes the US dependence that started it all*

**Each move funds the next,** so the plan finances its own path from quick fix to lasting cure.